

There is a clear trend that over time: the stock market does indeed continue to rise. This isn't an accident. The stock chart in the short-term is a picture of investors' erratic behaviors, often driven by fear and greed. The long-term stock chart is a reflection of economic reality, driven by economic growth and inflation. When you invest in an index fund, you are buying shares in many companies that, in sum, are the economy. Individual companies can and will fail. The worst that can happen with any individual company is that they lose 100 percent of their value. At the same time, they are constantly being replaced by new companies that can grow by 100 percent, 500 percent, or even 3,000 percent. There is no cap on the upside.

Buying an index fund means making a bet that the system will continue to grow and prosper. Some will argue that this will not always be the case. After all, societies and economies have collapsed in the past. While this is true, I'm not basing my plan around a worst-case scenario that may never come.

If and when the day comes that we have a complete collapse of the economy with no recovery, our society will likely collapse with it. If this happens, will our government be able to honor bonds? Will your small business remain viable? Will real estate hold its value (and will private property be respected)? Most likely, our investment